

DIRECTORATE OF RECOVERY

Table Item

SUBJECT: PROPOSAL FOR OUTSOURCING OF DOMESTIC / COMMERCIAL / INDUSTRIAL RECOVERY OF WATER AND SEWERAGE CHARGES, WASA MULTAN.

BACKGROUND:

Water & Sanitation Agency Multan is responsible for providing water, sewerage and drainage facilities to almost 2.5 Million the residents of Multan City. Recovery of WASA dues from its consumers is the main source of income for WASA, Multan in order to meet its expenditures like salaries of employees, electricity charges, POL etc. At present, the total No. of consumers is about 319,780. Since creation of WASA, the recovery of water/sewerage charges of WASA Multan remained very poor despite of strenuous efforts due to various factors, some are mentioned below: -

- i. The ground water is sweet and is available at about 70 feet, so the 70% population is getting water through their own pumps. The remaining 30% population almost having dual source i.e. connection of WASA and own water pumps. They are enjoying from the facility of WASA's water supply and denying from payment of charges. Huge No. of connections of defaulters were disconnected by WASA, but no one neither clear their dues nor approached for restoration of water connection.
- ii. The sewerage consumers are refusing to pay the sewerage charges as they are having the stance that it is the responsibility of Government to provide them such municipal facility without levying any charges. Resultantly, the No. of defaulters has been accumulated in thousands.
- iii. WASA has started disconnection campaign against the defaulters with the assistance of available staff, but no fruitful improvement

has been seen due to insufficient staff and resistance from the end of defaulters.

Keeping in view the above-mentioned facts, different options have been discussed at departmental level to improve the recovery. In this regard, the recovery from the consumers/defaulters of Domestic, Commercial, Industrial has analyzed at first step and found that there are following Ucs have the potential for Recovery. There UC Wise arrears of overall consumers are tabulated below:-

UC	Arrears
03	167.030
07	112.588
08	129.783
10	152.065
54	70.690
55	239.404
56	375.424
Total	1,246.984

AIM: -

To boot up recovery of WASA dues in order to meet with financial crises of WASA.

DETAIL/EXISTING ARRANGEMENT: -

Currently Recovery Directorate is established in WASA Multan Since, 2005 which is responsible for recovery of WASA dues and its related services.

PROPOSAL: -

Keeping in view the above-mentioned facts, it is proposed that the recovery from consumers of Domestic/Commercial/Industrial category of above said union councils may be outsourced in first phase on trial basis to improve efficiency and financial returns. This move is expected to optimize manpower and significantly boost collection

rates. In case, the outcome of said strategy found beneficial then the same will be implemented in other union councils as well.

Strategic Proposal – Outsourcing Recovery

Arrears	Payment to outsourced Firm upto 10% of Arrears Recovery.
1246.984 (Million)	

It is proposed that following technical committee may be constituted for the preparation of complete bidding documents and TORs. The committee shall submit its recommendations to the Managing Director WASA for final approval and decision.

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|--------------------------------------|------------|
| 1. Director Recovery, WASA | (Chairman) |
| 2. Director Engineering, WASA | (Member) |
| 3. Deputy Director P&D, WASA | (Member) |
| 4. Deputy Director Recovery-I, WASA | (Member) |
| 5. Deputy Director Recovery-II, WASA | (Member) |

Therefore, it is recommended that WASA Multan may be authorized to outsource the recovery from commercial/industrial defaulters in the best public interest, please.

RECOMMENDATIONS: -

The matter is placed before the Governing Body for kind consideration and approval.

MULTAN